ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 8

ECONOMIC AND MANAGEMENT SCIENCES

PAPER 1 · PRACTICE D

MARKS: 100 **TIME: 2 hours**

Covers the Grade 8 year: the economy (the three spheres of government, direct and indirect taxes, goods, factor and financial markets, scarcity and opportunity cost, the public and private sectors), financial literacy (classifying accounts, the accounting equation, the Cash Receipts and Cash Payments Journals of a service business and its profit for the month) and entrepreneurship (a sole trader case study, a SWOT analysis, the informal sector and advertising).

Written by Academic Central for practice, following the CAPS curriculum for Grade 8. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (35) and SECTION D: Entrepreneurship (20).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Use a ruler for journals and tables. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 Which sphere of government provides refuse removal and street lights in a town?

A National B Provincial C Local D International

1.2 Which of these is a DIRECT tax?

A Personal income tax B VAT C Fuel levy D Customs duty

1.3 The market where businesses hire workers is the …

A goods market. B financial market. C stock market. D factor market.

1.4 The next best choice that you give up when you make a decision is called the …

A opportunity cost. B profit.
C budget. D scarce resource.

1.5 Which of these is a NEED?

A A games console B Clean water C A holiday D Designer shoes

1.6 Money that a business receives for the services it provides is recorded as …

A capital. B a liability. C current income. D drawings.

1.7 Which of these is an ASSET of a business?

A A bank loan B Vehicles C Wages D Capital

1.8 When a business pays wages, the …

A assets and owner's equity decrease. B assets increase.
C liabilities increase. D owner's equity increases.

1.9 A business owned and run by one person is a …

A partnership. B company. C co-operative. D sole trader.

1.10 In a SWOT analysis, the "O" stands for …

A owners. B opportunities. C output. D orders.

(10)

QUESTION 2: TRUE OR FALSE

Write TRUE or FALSE next to the question number. If the statement is FALSE, write down the correct word(s) to replace the underlined word(s).

2.1 Public schools and hospitals belong to the private sector. (2)

2.2 Resources are scarce because people's wants are unlimited. (2)

2.3 Money that the owner takes from the business for personal use is called drawings. (2)

2.4 Buying equipment on credit increases liabilities. (2)

2.5 Street vendors who are not registered for tax are part of the formal sector. (2)

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 Name the THREE spheres of government and give ONE service provided by EACH. (6)

3.2 Explain the difference between a direct tax and an indirect tax. Give ONE example of each. (4)

3.3 Explain what is bought and sold in EACH of the following markets: (a) the goods market; (b) the factor market; (c) the financial market. (3)

3.4 Lindiwe has R300. She can buy a pair of school shoes or a concert ticket, but not both. She buys the school shoes.

3.4.1 What is her opportunity cost? (1)

3.4.2 Explain why she had to make a choice. (2)

3.5 Give TWO differences between the public sector and the private sector. (4)

3.6 Why does the government need to collect taxes? Give TWO reasons. (2)

3.7 Explain why a country's standard of living improves when more people have jobs. (3)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Classify each of the following as an asset, a liability, owner's equity, an income or an expense: (a) equipment; (b) loan from ABC Bank; (c) capital; (d) telephone account paid; (e) current income; (f) bank (positive balance). (6)

4.2 Sizwe started a garden service called Green Thumb on 1 May 2026. The transactions for May are given below. Draw the Cash Receipts Journal and the Cash Payments Journal, record the transactions and total the journals.

Day	Transaction
1	S. Dlamini deposited R6 000 into the business bank account as capital. Issued receipt 1.
3	Bought a lawnmower (equipment) from Garden World for R3 500. EFT 1.
8	Received R1 200 from Mrs Naidoo for cutting her lawn and trimming trees. Issued receipt 2.
12	Bought petrol and string for the trimmer (consumable stores) from Fuel Stop, R380. EFT 2.
15	Paid wages to the assistant, R1 000. EFT 3.
20	Received R2 400 from the Sunset Flats body corporate for garden services. Issued receipt 3.
26	Paid R250 for an advertisement in the local newspaper. EFT 4.
30	Paid wages to the assistant, R1 000. EFT 5.

CRJ columns: Doc | Day | Details | Bank | Current income | Sundry accounts (Amount, Details).
CPJ columns: Doc | Day | Name of payee | Bank | Wages | Consumable stores | Sundry accounts (Amount, Details).

(16)

4.3 Use your journals to calculate, for May 2026: (a) the total income; (b) the total expenses; (c) the profit or loss of Green Thumb. (5)

4.4 Calculate the balance of the business bank account on 31 May 2026. (2)

4.5 Explain why the lawnmower is NOT an expense of the business. (2)

4.6 Give TWO reasons why a business must keep source documents. (4)

[35]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 Read the case study and answer the questions.

> Zanele runs a mobile hair-braiding business on her own. She travels to her clients' homes in her township and charges lower prices than the salon in the shopping centre. She has many loyal clients but no business cards or social media page. She often cannot get to clients when it rains because she has no car. A new shopping mall that is being built nearby will have space for small businesses.

5.1.1 What form of ownership is Zanele's business? (1)

5.1.2 Give ONE advantage and ONE disadvantage of this form of ownership. (2)

5.1.3 Draw up a SWOT analysis for Zanele's business, with ONE point from the case study under each heading. (4)

5.1.4 Suggest TWO low-cost ways in which Zanele can advertise her business. (2)

5.2 Give TWO reasons why many people in South Africa work in the informal sector. (2)

5.3 Name THREE ways in which an entrepreneur can find ideas for a new business. (3)

5.4 Explain why a business must look after its customers. (2)

5.5 Give TWO characteristics (qualities) of a successful entrepreneur and explain why ONE of them is important. (4)

[20]

TOTAL: 100

END OF QUESTION PAPER